42. Who of the following shall cause every recommendation made by the Finance Commission to be laid before each House of Parliament?

(a) The President of India
(b) The Speaker of Lok Sabha
(c) The Prime Minister of India
(d) The Union Finance Minister

Ans. (a) : As per provisions given under Article 281 of the Indian Constitution the recommendations of the finance commission go to the president who is constitutionally bound to place it before the two houses of the parliament.

43. The "instrument of Instructions" contained in the Government of India Act 1935 have been incorporated in the Constitution of India in the year 1950 as:

(a) Fundamental Rights
(b) Directive Principles of State Policy
(c) Extent of executive power of State
(d) Conduct of business of the Government of India

Ans. (b) : The Directive Principles resemble the 'Instrument of Instructions' enumerated in the Government of India Act of 1935. In the words of Dr. B.R. Ambedkar, 'the Directive Principles are like the instrument of instructions, which were issued to the Governor-General and to the Governors of the colonies of India by the British Government under the Government of India Act of 1935. What is called Directive Principles is merely another name for the instrument of instructions. The only difference is that they are instructions to the legislature and the executive'.

44. With reference to the Constitution of India, consider the following:

1. Fundamental Rights
2. Fundamental Duties
3. Directive Principles of State Policy

Which of the above provisions of the Constitution of India is/are fulfilled by National social Assistance programme launched by the government of India?

(a) 1 only (b) 3 only
(c) 1 and 3 only (d) 1, 2, and 3

Ans. (b) : NSAP is a social assistance programme for poor households launched on 15th August, 1995 and represents a significant step towards the fulfillment of the Directive Principles in Articles 41 and 42 of the Constitution recognising the concurrent responsibility of the Central and State Governments in the matter.
The NSAP will include for the time being, three benefits as its components, viz
1. National Old Age Pension Scheme (NOAPS)
2. National Family Benefit Scheme (NFBS)
3. National Maternity Benefit Scheme (NMBS)
Article 41 Right to work, to education and to public assistance in certain cases.
Article 42 Provision for just and humane conditions of work and maternity relief.
All these schemes also fulfill the criteria of right to life, given under the Article 21 of the Constitution (Fundamental Right).

45. Consider the following statements:

The Supreme Court of India tenders advice to the President of India on matters of law or fact.

1. on its own initiative (on any matter of larger public interest).
2. If he seeks such an advice.
3. Only if the matters relate to the Fundamental Rights of the citizens.

Which of the statement given above is/are correct?

(a) 1 only (b) 2 only
(c) 3 only (d) 1 and 2

Ans. (b) : Article 143 of the Indian Constitution confers upon the Supreme Court advisory jurisdiction. The President may seek the opinion of the Supreme Court on any question of law or fact of public importance on which he thinks it expedient to obtain such an opinion.

46. With reference to Lok Adalats, which of the following statements is correct?

(a) Lok Adalats have the jurisdiction to settle the matters at pre-litigative stage and not those matters pending before any court
(b) Lok Adalats can deal with matters which are civil and not criminal in nature
(c) Every Lok Adalat consists of either serving or retired judicial officers only and not any other person
(d) None of the statements given above is correct

Ans. (d) : Lok Adalat is one of the modes of Alternative Dispute Resolution. The Lok Adalat Mechanism is available throughout the State through the Legal Services Authorities/Committees for amicable settlement. It is a very effective institution of alternative dispute resolution, where the cases pending in the court of law or at pre-litigation stage are settled amicably. The decision or decree of Lok Adalat is final and binding like a civil court. It consists of a sitting or retired judicial officer and other persons. (Two members and one social worker) (Two members should be a lawyer).

ECONOMY

47. In India, which of the following is regulated by the Forward Markets Commission?

(a) Currency Futures Trading
(b) Commodities Futures Trading
(c) Equity Futures Trading
(d) Both Commodities Futures and Financial Futures Trading

Ans. (b) : Commodities Futures Trading is regulated by the Forward Markets Commission.

48. Which one of the following is not a feature of Limited Liability Partnership firm?

(a) Partners should be less than 20.
(b) Partnership and management need not be separate
(c) Internal governance may be decided by mutual agreement among partners.
(d) It is corporate body with perpetual succession.

Ans. (a) : Partners should be less than 20 is not a feature of Limited Liability Partnership firm.

49. With reference to the institution of Banking Ombudsman in India, which one of the statements is not correct?

(a) The Banking is appointed by the Reserve Bank of India
(b) The Banking Ombudsman can consider complaints from Non Resident Indians having accounts in India.
(c) The orders passed by the Banking Ombudsman are final and binding on the parties concerned
(d) The service provided by the Banking Ombudsman is free of any fee

Ans. (c) : The orders passed by the Banking Ombudsman are final and binding on the parties concerned.

50. With reference to India, consider the following:

1. Nationalization of Banks
2. Formation of Regional Rural Banks
3. Adoption of Villages by Bank Branches

Which of the above can be considered as steps taken to achieve the "financial inclusion" in India?

(a) 1 and 2 only (b) 2 and 3 only
(c) 3 only (d) 1, 2 and 3

Ans. (d) : All of the above can be considered as steps taken to achieve the financial inclusion' in India. Nationalization targeted expansion of bank branches in rural area and also a control on concentration of economic powers in the hands of few. RRBs were planned to cater to the needs the rural areas.

51. Consider the following statements:

The functions of commercial banks in India include

1. Purchase and sale of shares and securities on behalf of customers.
2. Acting as executors and trustees of wills.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (c) : Commercial banks are not directly engaged in capital market. Capital market is the primary concern of investment banks. They act as executors and trustees of wills of their clients.

52. In India, the tax proceeds of which one of the following as a percentage of gross tax revenue has significantly declined in the last five years?

(a) Service tax (b) Personal income tax
(c) Excise duty (d) Corporation tax

Ans. (c) : The excise duty's share in the total tax revenue which was 41.3% in 1991-92, declined to 25.1% in 2006-07 It is the most that has declined in the last 5 years. Corporation tax has maximum share followed by income tax. Service tax was introduced very late so it's share would obviously increase.

53. With reference to Indian economy, consider the following statements:

1. The gross Domestic Product (GDP) has increased by four times in the last 10 years.
2. The percentage share of Public Sector in GDP has declined in the last 10 years.

Which of the statements given above is/are correct?

(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (b) :
The Gross Domestic Product (GDP) in 2000-01 was Rs 19.2 lakh crore which increased to Rs 58 lakh crore in 2009-10, with 6.7% growth rate in 2009-10. It is nearly three times the GDP in 2000-01. With the rapid growth of the private sector after 1991, the share of public sector in GDP has gone down.

54. In the context of India's Five Year Plans, a shift in the pattern of industrialization with lower emphasis on heavy industries and more on infrastructure begins in

(a) Fourth Plan (b) Sixth Plan
(c) Eight Plan (d) Tenth Plan

Ans. (c) : Industrial sector was given more weightage from Second Five Year Plan to Fifth Five Year Plan. Since, the Eight Year Plan, allocation for industrial sector has been reduced in favour of infrastructure.

55. Inclusive growth as enunciated in the Eleventh Five Year Plan does not include one of the following:

(a) Reduction of poverty
(b) Extension of employment opportunities
(c) Strengthening of capital market
(d) Reduction of gender inequality

Ans. (c) : Inclusive growth is 'broad-based growth' 'shared growth' and 'pro-poor growth'. It excludes the capital markets which is left to operate by itself in the open market.

56. Which one of the following is responsible for the preparation and presentation of Union Budget to the Parliament?

(a) Department of Revenue
(b) Department of Economic Affairs
(c) Department of Financial Services
(d) Department of Expenditure